

**Table 8.1. How to calculate return on investment (ROI)**

| Original investment | Profit  | ROI= profit/original investment |
|---------------------|---------|---------------------------------|
| \$100               | \$15    | 15.0%                           |
| \$4,000             | \$700   | 17.5%                           |
| \$11,000            | \$3,500 | 31.8%                           |

In reality, if you can average around a 7% ROI, then you are doing well. Remember, your savings account at your bank probably offers an interest rate of 0.06%; in effect, that's the ROI you get from a savings account. Since 1957<sup>40</sup>, the S&P 500 has averaged a return of around 8%. The key word here is *average*; it does not mean that every year the market grows exactly 8%. Far from it. In some years, the index has posted a loss of 30% or more; in other years, it has gained 30% or more. So if you invest in an index fund that is supposed to track the S&P 500, you are essentially investing in the market as a whole.

The key to investing is time. The earlier you can start investing, the better. If you start investing when you are young, even a small amount, you can amass an impressive amount of wealth pretty easily. The longer you can keep your money invested in the market, the more likely it is that you will earn that average 8% ROI. Examine Figure 8.3 to see the returns of the S&P 500 since 1957.

---

40 This is the year the S&P 500 started using 500 companies in its index.